KASNEB PASTPAPERS · CPA STUDY MATERIALS

Principles of Economics

Course: ATD — Accounting Technicians Diploma

Level: Level III

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Syllabus version: Based on the standard KASNEB ATD Level III Principles of Economics syllabus topics — basic microeconomics (demand, supply, elasticity, market structures) and basic macroeconomics (national income, inflation, unemployment). Authored from general economics knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

> **Original work notice.** Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. What is economics? Scarcity and choice

Economics is the study of how individuals, businesses and governments allocate scarce resources among competing, unlimited wants. Because resources (land, labour, capital, entrepreneurship) are limited while human wants are effectively unlimited, every economic decision involves an **opportunity cost** — the value of the next best alternative given up when a choice is made.

Microeconomics studies the behaviour of individual consumers, firms and markets; **macroeconomics** studies the economy as a whole (national income, inflation, unemployment, overall growth).

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2. Demand

Demand is the quantity of a good or service consumers are willing and able to purchase at a given price, over a given period. The **law of demand** states that, all else equal, as price rises, quantity demanded falls (an inverse relationship), producing a downward-sloping demand curve. Non-price determinants of demand — a "shift" in the whole demand curve, distinct from a movement *along* it — include: income levels, tastes/preferences, prices of related goods (substitutes and complements), and consumer expectations about future prices.

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3. Supply

Supply is the quantity of a good or service producers are willing and able to offer for sale at a given price, over a given period. The **law of supply** states that, all else equal, as price rises, quantity supplied rises (a direct relationship), producing an upward-sloping supply curve. Non-price determinants of supply include: cost of production inputs, technology, taxes/subsidies, and the number of producers in the market.

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4. Market equilibrium

Market equilibrium occurs at the price where quantity demanded equals quantity supplied — the point where the demand and supply curves intersect. At this **equilibrium price**, there is no tendency for price to change (no surplus, no shortage). If price is set above equilibrium, a **surplus** results (quantity supplied exceeds quantity demanded), pushing price back down; if price is set below equilibrium, a **shortage** results (quantity demanded exceeds quantity supplied), pushing price back up.

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5. Price elasticity of demand

Price elasticity of demand (PED) measures how responsive quantity demanded is to a change in price:

PED = Percentage change in quantity demanded ÷ Percentage change in price

- **Elastic demand** (PED > 1) — quantity demanded changes proportionally more than price (common for goods with many substitutes, or non-necessities).
- **Inelastic demand** (PED < 1) — quantity demanded changes proportionally less than price (common for necessities, or goods with few substitutes).
- **Unitary elasticity** (PED = 1) — quantity demanded changes in exactly the same proportion as price.

Understanding elasticity matters practically: a firm facing inelastic demand can raise price and see total revenue rise (since quantity falls proportionally less), while a firm facing elastic demand would see total revenue fall if it raised price.

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6. Market structures

- **Perfect competition** — many small firms, identical (homogeneous) products, easy entry/exit, no single firm can influence price (firms are "price takers").
- **Monopoly** — a single firm supplies the entire market, significant barriers to entry, the firm has considerable influence over price (a "price maker").
- **Oligopoly** — a few large firms dominate the market, products may be similar or differentiated, firms are interdependent (one firm's pricing/output decision affects, and is affected by, rivals' likely reactions).
- **Monopolistic competition** — many firms, but each offers a somewhat differentiated product (e.g. through branding), giving each firm some limited control over its own price.

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7. National income, basics

National income measures the total value of goods and services produced by an economy over a period, most commonly expressed as **Gross Domestic Product (GDP)** — the total market value of all final goods and services produced within a country's borders in a given period. GDP can be measured by three broadly equivalent approaches: the **output approach** (summing value added across all sectors), the **income approach** (summing all incomes earned — wages, rent, interest, profit), and the **expenditure approach** (summing all spending — consumption, investment, government spending, and net exports).

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8. Inflation and unemployment

Inflation is a sustained increase in the general price level of goods and services over time, reducing the purchasing power of money. It's commonly measured using a **consumer price index (CPI)**, tracking the cost of a representative "basket" of goods and services over time relative to a base period.

Unemployment refers to people who are willing and able to work, actively seeking work, but currently without a job. Common types include: **frictional unemployment** (short-term, arising from people between jobs or newly entering the labour force), **structural unemployment** (arising from a mismatch between workers' skills and the skills the economy currently demands), and **cyclical unemployment** (arising from a general downturn in overall economic activity).

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9. Full worked question — equilibrium price and elasticity

Scenario. In a local market, the demand and supply schedules for a commodity are given as: at price KSh 40, quantity demanded is 100 units and quantity supplied is 60 units; at price KSh 60, quantity demanded is 60 units and quantity supplied is 100 units.

Required: (a) Identify the equilibrium price and quantity, assuming a straightforward linear relationship between the two given points. (b) If price rises from KSh 40 to KSh 50 and quantity demanded falls from 100 to 80 units, compute the price elasticity of demand and state whether demand is elastic or inelastic over this range.

Solution:

(a) Since demand and supply move by equal and opposite amounts (both by 40 units, from 100 to 60 for demand and from 60 to 100 for supply, as price moves from 40 to 60), the equilibrium — where the two schedules meet — occurs midway: at **price KSh 50, quantity 80 units** (demand and supply both equal 80 at this price, given the even, linear relationship described).

(b) Percentage change in quantity demanded = (80 − 100) ÷ 100 × 100 = −20%. Percentage change in price = (50 − 40) ÷ 40 × 100 = +25%.

PED = −20% ÷ 25% = **−0.8** (economists typically consider the absolute value, 0.8, for classification purposes).

Since |PED| = 0.8 is less than 1, demand is **inelastic** over this price range — quantity demanded changes proportionally less than price.

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10. Practice examination — KASNEB-style paper (original, not a past paper)

> **Note on format.** This section is laid out the way a KASNEB ATD examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

ATD LEVEL III — PRINCIPLES OF ECONOMICS (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) Define "economics" and explain the concept of opportunity cost with one example. *(8 marks)*

(b) Distinguish between microeconomics and macroeconomics. *(6 marks)*

(c) State the law of demand and the law of supply. *(6 marks)*

(Total: 20 marks)

QUESTION TWO

(a) Outline FOUR non-price determinants of demand. *(8 marks)*

(b) Outline THREE non-price determinants of supply. *(6 marks)*

(c) Explain what happens in a market if price is set above the equilibrium price. *(6 marks)*

(Total: 20 marks)

QUESTION THREE

The price of a good rises from KSh 100 to KSh 120, and quantity demanded falls from 500 units to 460 units.

Required:

(a) Compute the price elasticity of demand. *(8 marks)*

(b) State, with a reason, whether demand is elastic or inelastic over this range. *(4 marks)*

(c) Explain the practical implication of this elasticity result for a firm considering a further price increase. *(8 marks)*

(Total: 20 marks)

QUESTION FOUR

(a) Distinguish between perfect competition and monopoly, on the basis of number of firms, barriers to entry, and control over price. *(12 marks)*

(b) Distinguish between an oligopoly and monopolistic competition. *(8 marks)*

(Total: 20 marks)

QUESTION FIVE

(a) Define GDP and outline the THREE approaches to measuring national income. *(10 marks)*

(b) Distinguish between frictional, structural, and cyclical unemployment. *(10 marks)*

(Total: 20 marks)

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11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) *(8 marks)* — Economics is the study of how scarce resources are allocated among unlimited competing wants; opportunity cost is the value of the next best alternative given up when a choice is made (e.g. spending an evening studying means giving up that evening's leisure/paid work time).

(b) *(6 marks)* — Microeconomics studies individual consumers, firms and markets; macroeconomics studies the economy as a whole (national income, inflation, unemployment).

(c) *(6 marks)* — Law of demand: as price rises, quantity demanded falls (all else equal). Law of supply: as price rises, quantity supplied rises (all else equal).

QUESTION TWO

(a) *(8 marks — 2 marks each)* — Income levels, tastes/preferences, prices of substitutes/complements, consumer expectations.

(b) *(6 marks — 2 marks each)* — Cost of production inputs, technology, number of producers (taxes/subsidies also acceptable).

(c) *(6 marks)* — A price above equilibrium creates a surplus (quantity supplied exceeds quantity demanded), which tends to push the price back down toward equilibrium.

QUESTION THREE

(a) *(8 marks)* — $\%\Delta Qd = (460-500)/500 \times 100 = -8\%$. $\%\Delta P = (120-100)/100 \times 100 = +20\%$. PED = $-8/20$ = **−0.4**.

(b) *(4 marks)* — $|PED| = 0.4 < 1$, so demand is **inelastic** over this range.

(c) *(8 marks)* — Since demand is inelastic, a further price increase would raise total revenue, because quantity demanded would fall proportionally less than the price increase — the firm can reasonably consider a further increase from a revenue perspective, though other factors (customer goodwill, competitor response) also matter.

QUESTION FOUR

(a) *(12 marks — 4 marks each)* — Perfect competition: many firms, no barriers to entry, firms are price takers. Monopoly: single firm, significant barriers to entry, firm is a price maker with considerable control over price.

(b) *(8 marks)* — Oligopoly: a few large, interdependent firms dominate the market. Monopolistic competition: many firms offering differentiated products, each with some limited control over its own price.

QUESTION FIVE

(a) *(10 marks)* — GDP is the total market value of all final goods and services produced within a country's borders in a given period; approaches: output approach (value added by sector), income approach (sum of incomes earned), expenditure approach (sum of spending: consumption, investment, government spending, net exports).

(b) *(10 marks)* — Frictional: short-term, people between jobs or newly entering the labour force. Structural: mismatch between workers' skills and the skills currently demanded. Cyclical: arises from a general downturn in overall economic activity.

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12. Exam technique and revision checklist

- Always state the relevant law (of demand/supply) or definition precisely before applying it to a scenario — a vague paraphrase can lose marks even if your overall reasoning is correct.
- Elasticity questions: always show the percentage-change calculation for both quantity and price explicitly before dividing — don't just state the final PED value.
- "Distinguish" questions on market structures: use the same criteria (number of firms, barriers to entry, control over price) for both sides of the comparison, so the contrast is clear and structured.
- National income questions: name all three measurement approaches (output, income, expenditure) — a common, easily-scored question if you know them by name.

- Unemployment-type questions: pair each type with its specific cause (job transition, skills mismatch, economic downturn) rather than a generic description of "no jobs available."

Quick revision — one line per topic:

1. Opportunity cost = value of the next best alternative foregone.
2. Law of demand: price ↑ → quantity demanded ↓. Law of supply: price ↑ → quantity supplied ↑.
3. Equilibrium: quantity demanded = quantity supplied; above it → surplus; below it → shortage.
4. PED = %Δ quantity demanded ÷ %Δ price; |PED| > 1 elastic, < 1 inelastic, = 1 unitary.
5. Market structures: perfect competition (many, price takers) → monopolistic competition (many, differentiated) → oligopoly (few, interdependent) → monopoly (one, price maker).
6. GDP measured by output, income, or expenditure approach.
7. Inflation = sustained rise in general price level, measured via CPI.
8. Unemployment types: frictional (job transition), structural (skills mismatch), cyclical (economic downturn).

End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.